AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

ECO101
Principles of Economics

Final Examination / Form B
2025-2026 / Spring

9 – June – 2026

Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: 2 hours**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF"** mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

AOU EGYPT

QUESTION ONE: (12 marks)
Select the correct answer and write it in the Answer Book. (2 marks for each question).

1. The equilibrium price is the price at which:

A) Quantity supplied is greater than quantity demanded
B) Buyers stop purchasing goods
C) Quantity demanded equals quantity supplied
D) Firms maximize profit

2. A shortage occurs when:

A) Quantity supplied exceeds quantity demanded
B) Quantity demanded exceeds quantity supplied
C) Price equals equilibrium price
D) Supply equals demand

3. The normal profit earned by an entrepreneur is considered:
A) A part of economic profit
B) A cost of production
C) A return to shareholders
D) A payment to labor

4. The primary goal of a firm is to:

A) Increase employment
B) Maximize profit
C) Reduce production costs only
D) Increase market share

5. Technological efficiency occurs when a firm:

A) Uses the lowest-cost inputs
B) Uses the least amount of inputs to produce a given output
C) Produces the maximum possible profit
D) Charges the lowest price in the market

6. In the short run, which of the following inputs is typically fixed for most firms?

A) Labor
B) Raw materials
C) Capital (plant)
D) Energy

AOU EGYPT

QUESTION TWO: (12 MARKS)

2A. Define market equilibrium**.** (6 marks)

2B- Suppose the supply of apples increases while the demand for apples remains unchanged.

Explain how this change affects the market equilibrium price and quantity. (3 marks)
Support your answer by drawing a clearly labeled demand and supply diagram showing the initial equilibrium and the new equilibrium after the change. (3 marks)

QUESTION THREE (12 marks)

3A. Briefly explain what is economic profit in economics? (3 marks)

3B. If the firm's economic profit were zero, should the firm exit the market? Explain your answer. (3 marks)

3C. A small restaurant earns $150,000 in total revenue.
It pays $50,000 for wages and $15,000 for the material expenses.
The owner owns the restaurant building, and he could have earned $15,000 a year if he rented it to someone else.
Find the restaurant fee shop's economic profit. (6 marks)

QUESTION FOUR: (14 MARKS)

4A. Define the marginal product of labour**.** (4 marks)

4B. The table below shows the relationship between the number of workers and total product in a factory.

Copy the table into your answer book and complete it by calculating the Marginal Product (MP) and the Average Product (AP). (10 marks)

Labor	Total Product	Marginal Product	Average Product
0	0		
1	6		
2	14		
3	21		
4	25		
5	27		

==========

End of Questions

AQ EGYPT